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FEDERAL MARITIME COMMISSION

WCG GROUP, LLC, dba Aitoh Co., Claimant, v. CHRIS PHILLIPS, and individual, and PAUL KNOTT, and individual, Respondents.	MEMORANDA IN SUPPORT OF RESPONDENT PAUL KNOTT’S MOTION TO DISMISS SMALL CLAIMS COMPLAINT Docket No. 1999(I)
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Pursuant to 46 C.F.R. § 502 *et. seq.*, including §§ 502.12, 502.311 and 502.312, Respondent Paul Knott (“Knott”), through counsel, hereby files this Memoranda in Support of Paul Knott’s Motion to Dismiss WCG Group, LLC dba Aitoh Co.’s (“Claimant”) Complaint and request that the Complaint be dismissed.

RELIEF REQUESTED AND GROUNDS

Claimant’s claims against Respondent Mr. Knott for violations of the Shipping Act of 1984 (“Act”) should be dismissed under Rule 12(b)(6) of the Federal Rules of Civil Procedure because they fail to state a claim for relief.

The purpose of the Act, as amended by the Ocean Shipping Reform Act of 1998 (“OSRA”), “is to maintain an efficient and competitive international transportation system in the United States and to prohibit unlawful and unfair restrictive practices that may adversely affect the shipping

industry.” 1 *Admiralty & Mar. Law* § 10:2 (6th). “The 1984 Act, as amended by OSRA, deals exclusively with the regulation of ocean common carriage in U.S. foreign commerce . . . [and] is administered by the [Federal Maritime Commission].” *Id.*

In this instance, the Claimant alleges that Respondent violated several prohibitions under the Act. Yet, the Complaint fails to allege fundamental elements of these violations and facts supporting a claim against Respondent. For example, absent from the Complaint are any allegations that Respondent qualifies as a common carrier, marine terminal operator, or ocean transportation intermediary under the Act. Instead, the Complaint contains mere legal conclusions that Respondent Mr. Knott “may have” violated the Act without pleading any supporting facts.

Even if the Complaint were construed liberally, no set of facts alleged, even those drawn by inference, could amount to any relief under the Act. Indeed, the Complaint’s own allegations state that Claimant’s cargo was insured by Ocean Freight Forwarder (Ex -Freight Zeta Inc.) and they’ve attempted to work with InXpress NY and Freight Zeta. As alleged by the Claimant, Respondent had no involvement in the matter until Claimant learned from Ex-Freight that their claim was untimely in March 2023. Thereafter, Claimant reached out to Mr. Knott. *See Compl.* at ¶ VI. Thus, the Complaint should be dismissed for failure to state a claim for relief against Respondent Mr. Knott.

Additionally, the Complaint should be dismissed under Rule 12(b)(1) of the Federal Rules of Civil Procedure for lack of subject matter jurisdiction. This is a contract dispute cloaked as a grievance under the Act. This is clear from the Account Application and Payment Authorization and Terms and Conditions that Claimant agreed to abide by. *See Supra Exhibits 1 and 2.*

The Complaint also should be dismissed under Rule 12(b)(7) of the Federal Rules of Civil Procedure for failure to join a necessary party. The Claimant has alleged that it had an interest in

certain lost or damaged cargo that was on the Vessel ONE APUS 006E/E. However, the Complaint fails to allege any claims under the Act against the owner of the vessel or Ex-Freight (a company that Claimant has a pending claim against for the lost/damaged cargo). For these reasons, the Complaint against Respondent Mr. Knott should be dismissed.

STATEMENT OF FACTUAL ALLEGATIONS FROM THE COMPLAINT

I. The claimant WCG Group, LLC (assumed name Aitoh Co.), is a Limited Liability Company formed in Texas and domesticated in Arkansas. Members of WCG Group, LLC dba Aitoh Co., hereunder simply referenced as Aitoh, are Beth Wild (President and Managing Director, 51% ownership), Paul Carpenter Van Pelt (Managing Member, 25% ownership), and Carlo Galotto (Managing Member, 24% ownership). Aitoh is a wholesaler of decorative paper, origami and other art supplies imported from Asia, mainly Japan but also India, Nepal, and China. Aitoh is located at 2720 Mountain Pine Rd. Hot Springs Arkansas 71913.

II. The respondent Chris Phillips is the owner of InXpress Hudson Valley NY, also known as InXpress NY, Inc. InXpress NY is a corporation (source govcb.com) doing business in the global shipping and logistics industry mainly providing forwarding service. The respondent Paul Knot is the CEO at InXpress Americas. The franchisor of both respondents is InXpress Holding, LTD (aka InXpress Global, LTD).

i. Chris Phillips

ii. InXpress NY, Inc.

iii. 16 Robin Ln, Wappingers Falls, NY 12590; chris.phillips@inxpress.com

iv. Paul Knot

v. InXpress Americas (unknown entity type)

vi. 10619 S Jordan Gateway, South Jordan, UT 84095; paul.knott@inxpress.com

III. Matters giving rise to the claim.

Both InXpress Americas Paul Knott and InXpress NY Chris Phillips, did not reply to reasonable and legit inquiries about the claim, they just ignored us. The reticence in the disclosure of information leads us to allege that there are violations of the Shipping Act. In particular:

- A. Due to the nature of the accident occurred to the Vessel ONE APUS 006E/W on Nov 30, 2020 /Ref 01/, we were advised by Foreign Container Line and Ocean Network Express and InXpress NY that, before to make an evaluation of the containers lost and/or damaged, there was the need to first safely berth the vessel to the port and perform an inspection of the vessel and its remaining cargo /Ref 01.a/, /Ref 01.b/.

This is the only formal update about the status of our cargo. Since we never received a written and formal communication if our cargo was damaged or lost in the sea, we are wondering if the parties involved failed to follow reasonable practices and regulations connected with receiving, handling, storing, or delivering properties - Section 41102 (c)

- B. As far as we know, the parties involved in the shipment (InXpress NY, Ex-Freight, Foreign Container Line, and Ocean Network Express), could have agreed to intentionally ignore or unjustly settle the claim with the insurance for reasons we do not know but we can reasonably suspect was prohibited under the Shipping Act and in particular under the Section 41104(a)(4)(E), 41104(a)(12).
- C. Due to the lack of information, it is extremely difficult to formulate alleged violations without further investigation. The lack of information itself provided by InXpress Americas, InXpress NY, Ex-Freight and Ocean Network Express and their unreasonable refuse to provide any update on the status of claim, is per se a violation of the Shipping Act when the investigation is conducted by FMC Section 41103(b)(2) and Section 41108(c).

IV. N/A.

V. The following are applicable:

- §41102(c)
- §41104(a)(4)(E)
- §41104(a)(12)
- §41103(b)(2)
- §41108(c)

VI. As wholesaler/importer of art supplies (in particular decorative paper) from India and Japan, Aitoh relied on InXpress NY for the freight of a cargo from India via Ocean. The vessel ONE APUS was hit by a thunderstorm on Nov 30th, 2020 /Ref 01/. The ship flooded and, apparently, we lost the goods. Freight \$1,929.94 and goods \$6,807 were prepaid. Despite the cargo was insured, we have never been contacted by the Ocean Freight Forwarder (Ex-Freight Zeta Inc.) regarding the claim that supposedly was submitted by Chris Phillis on March 2021 /Ref 02.b/. We tried to get weekly/monthly updates, both via e-mail and by phone, from Chris without any success other than "*the claim was submitted*". For several months, almost a year, Beth Wild periodically inquired via e-mail and by phone for an update on the status of the claim without success. The replies from InXpress NY were always assuring the claim was submitted (with Ex-Freight) and they were waiting for updates from the insurance company. At the end of the Summer 2021, Paul Carpenter made a conference call with Chris Phillis in the attempt to get an update on the status of Aitoh's claim /Ref 02.g/. Despite the follow-up was to provide unsolicited periodic updates, communications with Chris Phillis became even more sporadic and at the beginning of 2022 stopped. During 2022 we changed freight forwarder for our land/ocean shipments. In Feb 2023, since communications with Chris Phillips were completely broken, we re-submitted the claim with Ex-Freight via e-mail, highlighting the fact that the claim itself was presumably a duplicate of an existing claim /Ref 05/. Likely our attempt to trigger a reaction was misunderstood by Ex-Freight because their reply was simply that the claim was not filed in time. Then we decided to escalate the issue by contacting Paul Knot via the assistant Cicily Cirillo but, after a couple of e-mails

assuring they were "*investigating*", they stopped replying to our inquires /Ref 02.a/ Both Chris Phillips and Paul Knot just did not reply to reasonable and legit inquiries about the claim that was filed as per agreement by InXpress NY on Aitoh behalf. The reticence in the disclosure of information leads us to allege that there were violations of the Shipping Act.

In 2023 we filed complaints with Federal Trade Commissions (ReportFraud.ftc.gov), Attorney General NY Poughkeepsie Regional Office, and BBB New York, but unfortunately also in these cases we were not able to get any useful information to be used to pursue our right to know the status of our claim and if it was denied why, and to verify if the regulations and practices under the Shipping Act were observed.

VII. The undersigned authorizes the Settlement Officer to determine the above-stated claim pursuant to the informal procedure outlined in subpart S (46 CFR 502.301-502.305) of the Commission's informal procedure for adjudication of small claims subject to discretionary Commission review.

ARGUMENT

I. APPLICABILITY OF FEDERAL RULES OF CIVIL PROCEDURE

Under 46 C.F.R. § 502.12, "[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." Because no enumerated procedures for seeking dismissal of a complaint appear under 46 C.F.R. § 502 subpart T, the Federal Rules of Civil Procedure must apply here. Such application is practical in instances "[w]here matters are urged in [a respondent's] defense, the answer shall be accompanied by appropriate affidavits, other documents, and memoranda." *See* Section 502.312.

II. THE COMPLAINT FAILS TO STATE A CLAIM FOR RELIEF UNDER RULE 12(b)(6) OF THE FEDERAL RULES OF CIVIL PROCEDURE

Federal Rule of Civil Procedure 12(b)(6) provides that a district court should dismiss a complaint for failure to state a claim upon which relief can be granted when it is clear that no relief could result under any facts consistent with the complaint's allegations. *Conley v. Gibson*, 355 U.S. 41, 45-47, 78 S.Ct. 99, 2 L.Ed.2d 80 (1957); *EEOC v. St. Francis Xavier Parochial Schl.*, 117 P.3d 621, 624 (D.C. Cir. 1997). When evaluating a defendant's

motion, the Court should assume the truth of all of the factual allegations set forth in the plaintiff's complaint and construe the complaint liberally in favor of the plaintiff. *Doe v. United States Dep't of Justice*, 753 F.2d 1092, 1102 (D.C. Cir. 1985) and *Schuler v. United States*, 617 F.2d 605, 608 (D.C. Cir. 1979). Nevertheless, the Court need not accept inferences drawn by the plaintiff if those inferences are unsupported by facts alleged in the complaint, nor must the Court accept plaintiff's legal conclusions. *Browning v. Clinton*, 292 F.3d 235, 242 (D.C. Cir. 2002).

In this instance, the Complaint fails to make factual allegations supporting elements of several prohibiting acts under Section 11 of the Shipping Act of 1984, including 46 U.S.C. §§ 41102, 41104, 41103, and 41108.

A. Claimant Fails to State a Claim under 46 U.S.C. § 41102

Under 46 U.S.C. § 41102(c), “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices related to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). Here, the Complaint fails to make any allegations that Respondent Paul Knott is a common carrier. According to 46 U.S.C. § 40102(7), the term common carrier means a person that

(i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

See 46 U.S.C. § 40102(7). Absent from the Complaint are any allegations that Mr. Knott (nor InXpress, LLC, a Utah limited liability company) owned the Vessel ONE APUS 006 E/W, assumed responsibility for the transportation from the port or to a specific destination, or used a vessel themselves. Even still, the only allegation related to Section 41102(c) is that Claimant has not

received written or formal communication about the cargo, and they “wonder[] if the parties involved failed to follow reasonable practices and regulations connected with receiving, handling, storing, or delivering properties – Section 41102(c).” *See* Compl. at ¶ III C. This allegation is rooted in speculation. Thus, Claimant’s claim under 46 U.S.C. § 41102(c) fails as there are no set of facts consistent with the allegations in the complaint that could support the same.

B. Claimant Fails to State a Claim under 46 U.S.C. § 41104

Section 41104(a) provides that “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of . . . (E) adjustment and settlement of claims” Section 41104(a)(4)(E). Similar to Claimant’s claim under Section 41102, the Complaint fails to allege any facts showing Mr. Knott is a common carrier. Furthermore, the Complaint fails to allege that Mr. Knott engaged in any unfair or unjustly discriminatory practice, involving for service pursuant to a tariff, of the adjustment and settlement of claims. Instead, Complaint makes a generic allegation that parties involved in the shipment, which does not include Mr. Knott, “could have agreed to intentionally ignore or unjustly settle the claim for insurance” *See* Compl. at ¶ III. B. Again, these allegations are purely speculative.

The Complaint also raises a claim under Section 41104(a)(12), which provides that common carriers shall not “knowingly and willfully enter into a service contract with an ocean transportation intermediary that does not have a tariff as required by section 40501 of this title and a bond, insurance, or other surety as required by section 40902 of this title, or with an affiliate of such an ocean transportation intermediary” Section 41104(a)(12). Once again, related to this provision, the Complaint makes no allegations about any “knowing” or “willful” conduct related

to a service contract on any of these subjects. Therefore, claims under Section 41104 should likewise be dismissed.

C. Claimant Fails to State a Claim under 46 U.S.C. § 41103

Section 41103(a) states that “[a] common carrier, marine terminal operator, or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not knowingly disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information—(1) may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier; or (2) may improperly disclose its business transaction to a competitor.” Section 41103(a)(1)-(2).

The Complaint fails to make any allegations related to this section (nor could it). Again, there are no allegations that Mr. Knott is a common carrier. The Complaint only states, in relationship to this section, that “[t]he lack of information itself provided by InXpress Americas, InXpress NY, Ex-Freight and Ocean Network Express and their unreasonable refusal (sic) to provide any update on the status of claim, is per se a violation of the Shipping Act when the investigation is conducted by FMC” *See* Compl. at ¶ III. C. These allegations are inapposite to Section 41103(a) as they do not pertain to any detriment or prejudice to a shipper, consignee, common carrier, or competitor.

These same allegations lack any support for the claim of additional penalties under 46 U.S.C. § 41108(c) which are only triggered in the event the “Commission finds, after notice and opportunity for a hearing, that a common carrier has failed to supply information ordered to be produced or compelled by subpoena under section 41303 of this title” *See* Section 46 U.S.C. § 41108(c) and Compl. at ¶ III. C.

III. THE COMPLAINT SHOULD BE DISMISSED FOR LACK OF SUBJECT MATTER JURISDICTION

Under Rule 12(b)(1) of the Federal Rules of Civil Procedure, which governs motions to dismiss for lack of subject matter jurisdiction, “[t]he plaintiff bears the burden of persuasion to establish subject matter jurisdiction by a preponderance of the evidence.” *Pitney Bowes, Inc. v. United States Postal Serv.*, 27 F. Supp.2d 15, 19 (D.D.C. 1998). In reviewing such a motion, the Court must accept as true all the factual allegations contained in the complaint. *Leatherman v. Tarrant County Narcotics Intelligence & Coordination Unit*, 507 U.S. 163, 164, 113 S. Ct. 1160, 122 L.Ed.2d 517 (1993). “Additionally, in deciding a Rule 12(b)(1) motion, it is well-established in [the Federal Circuit Court] that a court is not limited to the allegations in the complaint, but may also consider material outside of the pleadings in its effort to determine whether the court has jurisdiction in the case.” *Newborn v. Yahoo!, Inc.*, 391 F. Supp.2d 181, 185 (D.D.C. 2005) (citing multiple decisions in the D.C. Cir and D.D.C. for this proposition).

From the Complaint, it is clear that the nature of this dispute is one of contract and not under the Act. *See Supra* Argument Section II for discussion regarding the inapplicability of the Act to the allegations in the Complaint. The Complaint, for example, includes an Original Invoice to ship certain goods on behalf of Aitoh. *See* pp. 21-22 of the Compl. The Claimant was also dealing with InXpress Hudson Valley NY for these services. *See* Compl. at II.

As further evidence that this dispute is in the nature of a contract, the Claimant entered into the terms of a April 17, 2020 Account Application and Payment Authorization signed by Paul S. Carpenter-Van Pelt on behalf of Claimant (“Application”). *See Exhibit 1* attached hereto as Account Application and Payment Authorization. WCG Group LLC is listed as the Company on the same. *See* Ex. 1. According to the terms and conditions of the Application,

The Company understands that it is ordering services from InXpress as a third-party, bill-to provide and not a transport services company, that InXpress is not a carrier or that InXpress represents any specific carrier The Company acknowledges that they have read and will abide by, and be subject to, the Terms and Conditions of InXpress, which are available on our website at www.us.inxpress.com and of each carrier used, which are available on their websites and/or waybills or bills of lading.

The Company understands that any service failures, late freight deliveries or damage claims are handled directly by the carrier InXpress will not be responsible for goods or material damaged during shipment.

See Ex. 1. The Terms and Conditions, referenced in the Application, further provide that

You agree that InXpress acts solely as a Third Party “bill to” and bears no express or implied liability for Shipments. You agree that InXpress has not expressed or implied that InXpress is a Carrier, or represents a specific Carrier.

You agree that any service failure, late freight, loss or damage claim is handled directly by the Carrier that transported the Shipment and that payment to InXpress is not subject to nor conditional upon a Carrier’s settlement or refusal to pay a claim. You acknowledge and agree that InXpress is a support and technology company and is not a transportation company and that only the Carrier can be held liable for service claims.

A copy of the Terms and Conditions (No. 5) is attached hereto as **Exhibit 2**. Because the Claimants’ claim is in the nature of a contract dispute, not one under the Act, the Complaint should be dismissed under Rule 12(b)(1) of the Federal Rules of Civil Procedure for lack of subject matter jurisdiction.

IV. THE COMPLAINT FAILS TO JOIN NECESSARY PARTIES

Under Rule 12(b)(7) of the Federal Rules of Civil Procedure, a complaint may be dismissed for failure to join a party under Rule 19. *See* FED. R. CIV. P. 12(b)(7). Under Rule 19(a)(1) of the Federal Rules of Civil Procedure, “[a] person who is subject to service of process and whose joinder will not deprive the court of subject-matter jurisdiction must be joined as a party if: (A) in that person’s absence, the court cannot accord complete relief among existing parties” FED. R. CIV. P. 19(a)(1)(A).

In this instance, the Complaint alleged that certain containers, that Claimant had an interest in, were lost and/or damaged from an accident that occurred to the Vessel ONE APUS 006E/W on November 30, 2020. *See* Compl. at III. A. The Claimant also alleged that in February 2023, they “re-submitted [a] claim with Ex-Freight via e-mail, highlighting the fact that the claim itself was presumably a duplicate of an existing claim” *See* Compl. at VI. However, the Complaint failed to include Ex-Freight Zeta Inc. and Ocean Network Express for their alleged misconduct, including failure to provide information to Claimant and satisfy Claimant’s cargo loss & damage claim. *See* Compl. at III C., VI, and 03/08/2021 Cargo Loss & Damage Claim Form.

Failure to include Ex-Freight and Ocean Network Express (and the owner of the Vessel), leaves the existing respondents, including Mr. Knott, “subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations because of the interest.” *See* FED. R. CIV. P. 19(a)(1)(B)(ii). In addition, Claimant has failed to plead any reason for nonjoinder of these absent parties under Fed. R. Civ. P. 19(c).

CONCLUSION

The Complaint should be dismissed because it fails to state a claim for relief against Mr. Knott, subject matter jurisdiction does not exist, and the Complaint fails to join necessary parties. For these reasons, the Complaint and claims against Mr. Knott should be dismissed with prejudice.

DATED this 26th of December, 2023

KIRTON McCONKIE

/s/ Ryan C. Cadwallader
Ryan C. Cadwallader
Attorneys for Respondent Paul Knott

CERTIFICATE OF SERVICE

I hereby certify that I have this 26th day of December, 2023 served the foregoing document upon the below parties of record as follows:

WCG Group, LLC dba Aitoh Co. (U.S. Mail & Email)
2720 Mountain Pine Rd.
Hot Springs, AK 71913
Claimant
carlo@aitoh.com

Chris Phillips (U.S. Mail)
16 Robin Ln
Wappingers Falls, NY 12590
Respondent

/s/ Ryan C. Cadwallader
Ryan C. Cadwallader
Counsel for Respondent Paul Knott

EXHIBIT 1

InXpress
Lynn Phillips
845-632-3007
InXpress 144
Wappingers Falls NY 12590
lynn.phillips@inxpress.com

ACCOUNT APPLICATION
AND
PAYMENT AUTHORIZATION



COMPANY INFORMATION

Company Name WCG GROUP LLC ("Company")
Primary Contact BETH WILD Phone [REDACTED] 9448 Email [REDACTED]
Address 5013 MARTIN LUTHER KING JR FREEWAY City FORT WORTH State TX Zip 76119
Accounts Payable Contact CARLO GALOTTO Phone [REDACTED] 2900 Email [REDACTED]
Billing Address 5013 MARTIN LUTHER KING JR FREEWAY City FORT WORTH State TX Zip 76119
Company Tax / EIN Number _____

ACH PAYMENT

ACH-AutoPay ☒ I hereby authorize InXpress to debit my ACH listed below for each invoice presented. Since the payment amount may vary, I will receive written notification of the amount and date of the charge prior to each scheduled transaction date. This authorization is valid until I provide InXpress with a written notice of cancellation. I understand that if ACH funds are not available, my Credit Card on file with InXpress will be charged.

ACH-Bank Details ☒ My account will accept ACH withdrawals. ACH returned fee \$25 each.

Name on Bank Account _____ Bank Name _____
Account Number _____ Routing Number _____
Bank Address _____ City _____ State _____ Zip _____

CREDIT CARD

ACH-Guarantee ☒ The following Credit Card may be charged if funds are not available for an ACH Auto Payment.

Credit Card Number [REDACTED] Credit Card Type AMERICAN EXPRESS
Name on Card PAUL S. CARPENTER-VAN PELT Expiration Date [REDACTED] Security Code [REDACTED]
Billing Address 5013 MARTIN LUTHER KING JR FREEWAY City FORT WORTH State TX Zip 76119

Credit Card Auto-Pay ☒ I hereby authorize InXpress to bill this Credit Card for each invoice presented.

PAY BY CHECK

☐ Make checks payable to: InXpress LLC. Mail to: InXpress, P.O. Box 709030, Sandy, UT 84070.

Payments by check authorize InXpress to make a one-time electronic debit from your checking account or to process the check through your bank.

TERMS AND CONDITIONS

The Company authorizes the opening of an account with InXpress and the investigation of references provided. The Company understands that it is ordering services from InXpress as a third-party, bill-to provider and not a transport services company, that InXpress is not a carrier or that InXpress represents any specific carrier, and that the Company will receive discounted billing from InXpress for services provided from one or more carriers. The Company acknowledges that they have read and will abide by, and be subject to, the Terms and Conditions of InXpress, which are available on our website at www.us.inxpress.com and of each carrier used, which are available on their websites and/or waybills or bills of lading.

The Company understands that any service failures, late freight deliveries or damage claims are handled directly by the carrier. Payment terms to InXpress will not be extended due to pending claim(s). InXpress will not be responsible for goods or materials damaged during shipment.

The Company agrees to payment terms of Net 14-days FROM DATE OF INVOICE except invoices for Duties and Taxes which are due upon receipt. If the invoice isn't paid on time, discounts may be reduced, meaning INVOICE AMOUNTS MAY INCREASE ON ALL INVOICES UNPAID AFTER THE DUE DATE. Also, carrier services may be curtailed until the account is brought current. All costs of collection, including but not limited to reasonable attorney fees if incurred, will also be the responsibility of the Company. Duties and taxes may be invoiced up to 6 months after shipment. Invoice delivery method is via e-mail.

I certify that the information above is correct, that I have proper authority to sign on behalf of the Company, that the Company is not insolvent and is in good standing.

I have read and agree to all the Terms and Conditions in this Account Application and Payment Authorization.

Authorized Signature: [Signature] Print Name: Paul S. Carpenter Date: 4/17/20
VAN PELT

23 October 2017 R-1

14431161

Chris

EXHIBIT 2

InXpress Terms & Conditions

InXpress Customer Terms and Conditions (“Terms and Conditions”)

These terms and conditions apply to all services provided by InXpress.

IMPORTANT NOTICE

When You use the services of InXpress You are agreeing, on behalf of yourself and on behalf of anyone else with an interest in the Shipment that these Terms and Conditions listed below shall apply from the time the Carrier accepts the Shipment, unless otherwise agreed in writing by an authorized officer of InXpress.

“Shipment” means all documents, packages, parcels or heavy freight Shipments that travel under one waybill with a Carrier partner of InXpress so that the invoice for that Shipment comes from InXpress. Every Shipment is authorized to be transported on a limited liability basis as provided herein.

“Carrier” means a transportation company that picks up, transports and delivers Shipments.

“InXpress” means InXpress Global, Ltd., any affiliate of InXpress , and any Master Franchise, Licensee or Franchisee of InXpress.

"Affiliates" includes but not limited to InXpress Australia Pty Limited, InXpress Canada ULC, InXpress Germany GmbH, InXpress France SARL, InXpress Hong Kong Limited, InXpress India Private Limited, IXK Logistics Co. Ltd, Safe Web Logistics (SARLAU), IXP Nederland, InXpress New Zealand, InXpress

Limited, InXpress, LLC, InXpress Vietnam Company Limited, InXpress South Africa (Pty) Ltd.

“You”, “Your” or “Yourself” means your company and You as an authorized representative of your company.

1. InXpress Account

When You use the services of InXpress You agree that You are an authorized representative of your company and that You are opening an account with InXpress for your company. By ordering services from InXpress You, and your company, understand that InXpress is not a transportation company. You will **not** receive transportation services directly from InXpress but will receive discounted billing from InXpress for shipping services provided by a Carrier or Carriers.

You agree to the terms and conditions in the InXpress Account Application. You agree that the information provided in the InXpress Account Application is for the purpose of obtaining credit and is warranted to be true. By signing the InXpress Account Application You authorize InXpress to investigate the references provided pertaining to Your credit and financial responsibility.

InXpress may cancel Your account at any time without prior notice to You for any reason or no reason. You agree that if the account is cancelled you will pay for all shipments made under the account even if invoiced after the cancellation date.

2. Subject to the Terms and Conditions of Carriers

You agree that all Shipments are subject to the terms and conditions of the Carriers, as well as these Terms and Conditions. Each Carrier has specific restrictions and prohibitions that You agree to become familiar with prior to tendering any Shipments to Carriers. You agree to review and comply with all terms and conditions of the Carriers, which are available on their websites and/or air waybills or BOL. You

warrant to InXpress and to the Carrier that all information provided by You is true, complete and accurate, that the Shipment was prepared in secure premises by Your employees, that You employed reliable staff to prepare the Shipment, that You protected the Shipment against unauthorized interference during preparation, storage and transportation to the Carrier, that the Shipment is properly marked and addressed, that all applicable customs, import, export and other laws and regulations have been complied with and that the waybill has been signed by You or Your authorized representative.

3. Rates

You agree the rates provided by InXpress are for You only and that You will not let other companies use the rates without authorization from InXpress. You agree not to resell the services of InXpress to other companies and You agree to immediately notify InXpress if another company is found to be using Your InXpress account. These rates are subject to change without notice. These rates may also change if the characteristics of the actual Shipment differ from those reported by You such as weight, dimension, commodity and other conditions not accurately described at the time the Shipment is processed.

4. Packaging

You acknowledge that You have properly packaged the Shipment to ensure safe transportation with ordinary care in handling and that the Shipment packaging meets the requirements of the Carriers and industry standards for packaging of such goods for transport as described in the Carrier's terms and conditions. You further acknowledge that the contents of the Shipment were not damaged and were in good working order prior to shipment, unless otherwise noted by you prior to shipment and that you have done nothing to conceal the contents of the Shipment or any possible damage

to the contents of the Shipment prior to the Shipment being tendered to the Carrier or thereafter.

5. Loss or Damage Claims

You agree that InXpress acts solely as a Third Party “bill to” and bears no express or implied liability for Shipments. You agree that InXpress has not expressed or implied that InXpress is a Carrier, or represents a specific Carrier.

You agree that any service failure, late freight, loss or damage claim is handled directly by the Carrier that transported the Shipment and that payment to InXpress is not subject to nor conditional upon a Carrier’s settlement or refusal to pay a claim. You acknowledge and agree that InXpress is a support and technology company and is not a transportation company and that only the Carrier can be held liable for service claims.

6. Insurance

You understand that and agree You are responsible for arranging for any shipment delay or damage coverage directly with the carrier for Shipments booked through InXpress. InXpress is not responsible for any cargo damage, delay or loss of Shipments moved through an InXpress Carrier. You may be offered the option to select a shipment warranty product on the InXpress website but InXpress is under no obligation to provide this service. This shipment warranty product is a transportation services warranty and not insurance. If you choose the shipment warranty product, its terms and conditions listed on the InXpress website will apply. If You choose not to insure the Shipment You agree to accept the Carrier’s standard liability, if granted by the Carrier, under their terms and conditions. You further agree to accept the Carrier’s decision, whether You chose insurance or not, as full and final resolution of your claim.

7. Customs Processing

The Carrier will process Your Shipment for customs clearance in the country of its destination. Customs clearance procedures may vary widely in different countries. You agree that payment to InXpress is not subject to nor conditional upon any actions or delays of the customs officials.

8. Payment

You agree to pay InXpress within 14 days FROM DATE OF INVOICE except invoices for Duties and Taxes which you agree to pay immediately upon receipt of the invoice. You agree that in the event Your account is not paid according to the terms above or as described on the invoice Your discounts may be reduced, therefore shipment pricing may increase, on all delinquent amounts over 30 days late. You also agree that InXpress may have Shipments and freight pickup curtailed until Your account is brought current and that all costs of collection, including reasonable attorney fees if incurred, will also be Your responsibility. Duties and Taxes may be up to 6 months after invoice. Payment terms to InXpress will not be extended due to pending issues with Carriers. Despite any instructions to collect payment from any other Third Party or Your confusion about whom to pay, You agree to remain responsible to pay Your InXpress invoice within the terms above.

9. Security

You agree to send goods and materials in compliance with the Carrier's requirements and security restrictions in place at the time of the shipment. You will only ship goods and materials that you own or originate with You or Your company.

10. Dangerous Goods

If You ship dangerous goods, as defined by the Carrier, You agree to all the terms and conditions of the Carrier regarding these items, including but not limited to proper packaging, preparation for transport, training and updating employees, and paperwork requirements. You further represent that your

employees have been properly trained in the handling and transportation of these items and will present certification and other paperwork if requested. In the event of a breach of any requirement regarding dangerous goods you agree to indemnify and hold harmless InXpress from all loss and liability arising from said shipment(s) and/or breach.

11. Refunds

Where you have made a payment, or InXpress has collected payment via credit card or other automated collection process, you should address any invoice dispute or refund requests, in accordance with your contractual or statutory rights, in writing to InXpress.

12. Miscellaneous

Except as expressly stated herein, there are no other warranties, express or implied, by operations of law or otherwise, of the services furnished by a particular purpose or arising from a course of dealing or usage or trade. InXpress shall have no other liability to You in connection with the services furnished, including without limiting the generality of the foregoing, any liability for direct, indirect, incidental, special or consequential damages or any injury or damages to persons and property. InXpress will not be liable for goods or materials damaged by shipment. In addition InXpress is not liable for any loss or damage arising out of circumstances beyond its control. These include but are not limited to: electrical or magnetic damage to, erasure of, electronic or photographic images, data or recordings; acts of God, acts of public authorities acting with actual or apparent authority; acts or omissions of customs or similar authorities insufficient information provided by You; the application of security regulations imposed by the government; a government agency hold; riots, strikes or other labor disputes; civil unrest; industrial action' disruptions of any kind in air or ground transportation networks such as weather phenomena and natural disasters.

These Terms and Conditions supersede any other terms or conditions provided to You by anyone at InXpress unless in writing.

Any claim made by you against InXpress with respect to any services provided by InXpress or a Carrier must be made in writing and delivered to InXpress within the terms required by the Carrier or within 14 days of the date of the invoice, whichever is earlier, and any claim not made or notified as above will be deemed to be waived and absolutely barred except where You can demonstrate it was impossible for You to comply with this time limit and that You made the claim as soon as it was reasonably possible for You to do so.

Notwithstanding the above, InXpress shall in any event be discharged of all liability whatsoever howsoever arising with respect to any services provided to You by InXpress or any Carrier unless suit is brought and written notice thereof is given to InXpress within 6 months from the date the event or occurrence alleged to give rise to a cause of action against InXpress.

Any dispute arising under or in any way connected with these Terms and Conditions apply shall be subject, for the benefit of InXpress, to the non-exclusive jurisdiction of the courts of, and governed by the law of the country or state of the party involved in the shipment that is responsible for payment of the InXpress invoice and said party irrevocably submits to such jurisdiction, unless contrary to applicable law.

The advice and information given to You by InXpress is provided for You only and You agree not to pass on any such advice or information to any third party without InXpress' written consent. You agree to indemnify InXpress against all loss and damage suffered as a consequence of Your breach of this requirement.

You consent to the use, publication and processing of the information contained in Your Account Application by InXpress,

its franchisees, Carriers and other vendors who might request this information to further assist You in Your transportation needs. InXpress will not share your information with anyone other than companies associated or affiliated with InXpress. All information is stored securely in accordance with local data protection law. Please refer to the links below for InXpress' Policies relating to General Data Protection Regulation (GDPR):

<https://www.inxpress.com/privacy-notice/>

<https://www.inxpress.com/cookie-policy/>

<https://www.inxpress.com/information-security/>

The invalidity or unenforceability of any provision shall not affect any other part of these Terms and Conditions.

You have read and agree to all these InXpress Terms and Conditions and you acknowledge that You have read and agree to the Carrier's terms and conditions.